

plicable to long-term capital gains on debt MFs have been removed. Now they are taxed on par with FDs at the marginal rate.

ANTICIPATED FALL

The year 2024 could be a favourable one for the bond market as central banks are expected to lower policy rates. The quantum and timing of rate cuts will vary across countries depending on the state of their respective economies. “As far as India is concerned, we believe that the RBI may consider rate cuts from October 2024 onwards after thoroughly reviewing factors such as the new Union Budget, ongoing inflationary pressures, the global growth-inflation dynamic, and the policy rate environment,” says Dhawal Dalal, CIO-Fixed Income at Edelweiss MF.

110 | This might bring some relief, considering that debt funds have not performed well in the past year. “Indian bonds delivered mid-single-digit returns in 2022 and 2023. In both calendar years, returns from the bond market failed to surpass the average inflation levels in the economy,” says Dalal.

Now that the tightening rate cycle has reached its peak, it appears that we can expect softer rates going ahead as inflation cools and global growth slows. “The RBI expects inflation to decline to 4% by Q2FY25. This could mean that the RBI would maintain status quo on rates in the coming meetings before considering rate cuts in the latter part of H1FY25,” says Rajiv Bajaj, Chairman & MD of BajajCapital, an investment management company.

IMPACT ON DEBT FUNDS

In 2024, the bond market looks promising because of multiple

IMPACT OF RATE CYCLE SHIFT

- ▶ Modified duration of a bond can help investors predict how the bond’s price will change as interest rates fluctuate
- ▶ A debt fund with a modified duration of 10 years and net yield of 7% could give post-tax return of 7-12% after 25-100 bps rate reduction

Assumed rate cut (bps)@	Assumed modified duration (years)	Assumed net yield (%)	Capital gain from rate cut (%)*	Potential 1-year gross return (%)#	Potential net post-tax returns (%)^
25	10	7	2.5	9.5	6.7
50	10	7	5	12	8.4
75	10	7	7.5	14.5	10.2
100	10	7	10	17	11.9

@IN 12 MONTHS; *MODIFIED DURATION X RATE CUT, #NET YIELD + CAPITAL GAIN; ^ASSUMING 30% TAX BRACKET (ADDITIONAL SURCHARGE); **NOTE** MODIFIED DURATION INDICATES THE SENSITIVITY OF A BOND/PORTFOLIO WITH A CHANGE IN THE INTEREST RATE **SOURCE** CAPITAL LEAGUE

25-30 \$ BILLION LIKELY INFLOW THE INCLUSION OF INDIAN BONDS IN JPMORGAN GLOBAL INDICES COULD BRING INTO THE INDIAN BOND MARKET IN 2024

INVESTING IN MEDIUM-TERM BOND FUNDS CAN BE QUITE ATTRACTIVE AS IT OFFERS THE POTENTIAL FOR ADDITIONAL RETURNS THROUGH CAPITAL APPRECIATION. THEY ALSO CARRY LOWER RISK THAN LONG-DURATION FUNDS

compelling factors. “The outlook for the bond market looks benign amidst robust tax collections, fiscal consolidation plans, and the inclusion of Indian bonds in JPMorgan global indices,” says Bajaj. He believes the potential inclu-

sion of Indian bonds in the JPMorgan indices could result in a significant inflow of \$25-30 billion. However, the question that arises is which debt funds are the best ones to invest in. According to experts, debt funds that invest in